you're 25 years old. Let's also assume you're going to live to be 85 years old. With this scenario, you have 40 years to grow your money to age of 65, after which point you'll retire. That means you'll need your money to last you for 20 years.

In this scenario, at 25 years of age, 25 percent of your portfolio should be in secure, predictable bonds. Bonds stabilize your portfolio, but when you're 25, stability is less important than growth and risk. You're young, you can ride the up-and-down wave for a while, as long as you don't panic and cash out. Therefore, when you are young you should have up to 75 percent of your portfolio in dividend-paying stocks. Chances are, over time, you will make money more often than you'll lose it. You'll come out ahead in the end.

As time goes by, your bond percentage rises right along with your age, so at 40 years old, 40 percent of your portfolio should be in stable bonds, 60 percent in the riskier stocks. At 50 years old, half of your portfolio will be dividend-paying stocks, half in bonds. Easy to remember 50/50 at 50. After age 65, you need to start extracting the risk from your portfolio, so by the time you're 70, your portfolio is mostly bonds, and only 30 percent in riskier dividend-collecting stocks.

Learning to save well, spend smartly, and invest wisely signals the beginning of a fascinating and rewarding journey. Arm yourself with knowledge, understand your own appetite for risk, and be willing to ask for help. Follow that last bit of advice and you'll do fine.

You've picked up this book because you know I know money. I helm a mutual fund company with my name on it. But I am also here to tell you there is no guru who gets it right all the time, not even the venerable Warren Buffett, though the man comes close. Don't get sucked in by some weekend seminar that hypes you up on a sector or investment "method" that is a "tried and true" formula, "proven," and "guaranteed." There are no such things when it comes to investing.